

financial information became available, in part as a result of mandatory SEC reporting, investors became more sophisticated. Researchers created and compared ratios such as price/earnings ratios (P/E ratios) and the P/E to earnings growth. In addition, a company's market price/book value became a leading dividing line. It was widely believed that earnings and book value ratios gave clues to finding profitable investment opportunities. Stocks with low price/earnings and price/book ratios were considered better values than stocks with high ratios. In 1934, Benjamin Graham and David Dodd wrote guidelines that quantified these ratios in their timeless investment book *Security Analysis*. The book is still one of the most widely distributed investment classics of all time.²

Not much has changed since Benjamin Graham and David Dodd wrote the book on fundamental investing over 75 years ago. Today, investors still analyze the same fundamental factors and price ratios, and they still look for value using earnings and book value. Granted, there have been some changes in the way people analyze the data and the amount of information available to the public. However, the speed and accuracy of computers has made the analysis hundreds of times faster, even after an increase in the amount of data.

As security valuation progressed over the years, analysts and academic researchers began to agree on standard labels for categories of stocks based on styles. Companies that had a high market price relative to their fundamentals and outlook were labeled “growth” companies. Those with low market price relative to their fundamentals and outlook were labeled “value” companies. Some index providers use a third category for neutral stocks whose valuations fell between growth and value.

As style categorization became popular and computers made number crunching faster, it was natural for researchers to go back in history and reconstruct indexes based on style methodology. In the 1970s, researchers were able to compare historic style returns going back to the early 1900s with a high degree of accuracy. What this historic data showed was that value stocks outperformed growth stocks by several percentage points over the long term, and outperformed during most independent 10-year periods.

In addition, researchers have found that the value premium exists in foreign markets as well, suggesting that the same factors that drive U.S. value stock returns drive value stock returns in all countries. That